



A BUSINESS STUDIES BRIEFING

Forms of Business Organisation in India

Sole Proprietorship • Joint Hindu Family Business • Partnership • Cooperative Society • Company • LLP

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September 2026

What is a Form of Business Organisation?

A form of business organisation is the legal and structural format under which an enterprise chooses to set up, own and run its operations.

In India, an entrepreneur can choose from six broad structures — each governed by its own law, and each striking a different balance between control, liability, capital and continuity.

The right choice shapes everything that follows for the enterprise.

WHY THE CHOICE MATTERS



Liability

How much of the owners' personal wealth is exposed to business debts and losses.



Capital

How much finance the structure can realistically raise, and from whom.



Control

Who takes decisions — a single owner, a group of partners, or an elected board.



Continuity

Whether the business survives the death, exit or insolvency of an owner.

Classification of Business Organisations



Sole Proprietorship

One owner, one entity



Joint Hindu Family Business

Governed by Hindu Law



Partnership

Indian Partnership Act, 1932



Cooperative Society

Cooperative Societies Act, 1912



Joint Stock Company

Companies Act, 2013



Limited Liability Partnership

LLP Act, 2008

Sole Proprietorship



A business owned, financed, managed and controlled by a single individual, who bears all the risk and keeps all the reward.

India's most common and oldest form of enterprise — kirana stores, salons, tailoring units.

KEY FEATURES



No Separate Legal Entity

Owner and business are legally the same person — there is no distinction in law.



Unlimited Liability

The owner's personal assets can be used to settle business debts.



Sole Risk-Bearer & Beneficiary

All profits belong to the owner — and so does every loss.



Quick Decisions, Minimal Formalities

No partners or board to consult; very few legal formalities to start.

Sole Proprietorship: Merits & Limitations

MERITS

- Easy to start and just as easy to close
- Full profit motivates direct, personal effort
- Fast decisions — no consultation needed
- Business secrets stay fully confidential
- Personal touch builds customer trust

LIMITATIONS

- Limited capital — restricted to owner's own funds
- Unlimited liability puts personal assets at risk
- One person's managerial ability is a ceiling on growth
- Life of the firm is tied to the life of the owner
- Limited scope for expansion

Joint Hindu Family Business

A business owned and run by the members of an undivided Hindu family, governed by Hindu Law rather than by any agreement between the members.



The Karta

The senior-most member manages the business and carries unlimited personal liability for its debts.



The Coparceners

Other family members join by birth. Their liability is limited to their own share in the family business property.

KEY FEATURES



Formed by Birth, Not Agreement

Membership arises automatically by birth into the family — no partnership deed is needed.



Unaffected by Death

The death of a coparcener does not dissolve the business; the family firm continues.

Partnership

"The relation between persons who have agreed to share the profits of a business carried on by all, or any of them acting for all."

Sec. 4,
Indian
Partnership
Act, 1932



Formed by Agreement

Created by a Partnership Deed (oral or written) — never by birth or by law.



Unlimited, Joint Liability

Every partner is liable, jointly and severally, for all the firm's debts.



2 to 50 Partners

Minimum two partners; maximum capped at 50 members under the Companies Act rules.



Registration is Optional

Advisable, though — an unregistered firm cannot sue third parties to enforce its rights.

Types of Partners



Active Partner

Contributes capital and takes an active part in daily management.



Sleeping Partner

Contributes capital and shares profit/loss, but takes no part in management.



Secret Partner

Takes part in management, but this fact is kept undisclosed to outsiders.



Nominal Partner

Lends only their name and reputation — no capital, no role in management.



Minor Partner

Admitted only to the benefits of the firm; liability limited to capital contributed.



Partner by Estoppel

Not a real partner, but is held liable for behaving or being seen as one.

Partnership: Merits & Limitations

MERITS

- More capital and resources than a sole proprietorship
- Shared decision-making and pooled expertise
- Business risk is spread across all partners
- Fewer disclosure norms keep affairs relatively private
- Simple to form and to dissolve by mutual consent

LIMITATIONS

- Unlimited liability, joint and several, for every partner
- Membership capped at 50 — a ceiling on capital raised
- Disagreements between partners can disrupt the business
- Ownership share can't be transferred without full consent
- Continuity can break on death, retirement or insolvency

Cooperative Society

A voluntary association of persons who join hands to serve their common economic interests — registration is compulsory under the Cooperative Societies Act, 1912.

DEFINING FEATURES



Democratic Control

“One member, one vote” — voting power has nothing to do with capital held.



Limited Liability

Members' liability is limited to the capital they have contributed.



Service Before Profit

The society exists to serve its members, not to maximise profit.

COMMON TYPES



Consumer



Producer



Marketing



Farming



Credit



Housing

Joint Stock Company

An artificial person, created by law, with a legal existence entirely separate from its members — governed by the Companies Act, 2013.



Separate Legal Entity

The company can own property, sue and be sued — entirely apart from its members.



Perpetual Succession

Members may come and go; the company itself continues unaffected.



Limited Liability

A member's loss is capped at the amount unpaid on their shares.



Separation of Ownership & Management

Shareholders own the company; an elected Board of Directors runs it.



Two Broad Types

A company registered under the Act is either a Private Company or a Public Company — the two differ sharply in membership, share transfer and capital-raising.

Compared next →

Private Company vs Public Company

	PRIVATE COMPANY	PUBLIC COMPANY
Members	2 – 200	Minimum 7, no upper limit
Directors	Minimum 2	Minimum 3
Share transfer	Restricted by articles	Freely transferable
Invitation to public	Prohibited	Can invite via prospectus
Name suffix	“Private Limited”	“Limited”
Start of business	Immediately on incorporation	Needs certificate to commence

One Person Company & LLP



One Person Company (OPC)

Introduced by the Companies Act, 2013, for the solo entrepreneur who still wants company status.

- A single member owns the entire company
- That member names a nominee in advance
- Combines sole control with a separate legal entity
- Liability is limited, unlike a sole proprietorship



Limited Liability Partnership

A hybrid created by the LLP Act, 2008 — a partnership's flexibility with a company's limited liability.

- Minimum 2 partners; no upper limit on members
- Separate legal entity with perpetual succession
- Liability limited to each partner's agreed contribution
- No partner is liable for another's independent misconduct

Comparative Snapshot

Form	Formation	Liability	Members	Continuity
Sole Proprietorship	No formalities	Unlimited	1	Ends with owner
Joint Hindu Family	By birth in family	Karta: unlimited Others: limited	Coparceners	Unaffected by death
Partnership	Partnership deed	Unlimited, joint	2 – 50	May end on exit
Cooperative Society	Compulsory registration	Limited	10, no max	Perpetual
Company (Pvt./Public)	Incorporation	Limited	2–200 / 7+	Perpetual
LLP	Registration (ROC)	Limited	2, no max	Perpetual

Factors Affecting Choice of Form



Ease of Formation & Closure

Legal formalities, cost and time needed to set up or wind up.



Liability

How much personal risk the owners are willing to carry.



Capital Requirement

How much finance the business needs, and how widely it must be raised.



Degree of Control

How much decision-making authority the owner wants to retain.



Continuity

Whether the business must survive beyond its founder.



Nature & Scale of Business

Size of operations, area covered, and the level of risk involved.



In Summary

No single “best” form exists

Each structure trades off liability, capital, control and continuity differently. The right choice is the one that fits the scale, risk appetite and long-term vision of the specific enterprise.

Sole Proprietorship

Joint Hindu Family

Partnership

Cooperative Society

Company

LLP

Thank you